

Diversified Gas & Oil Corporation DIGAOI

August 17, 2026 - 4:44pm EST

by

Houdini

2026 2027

Price:	101.50	EPS	0	0
Shares Out. (in M):	80	P/E	0	0
Market Cap (in \$M):	1,098	P/FCF	0	0
Net Debt (in \$M):	2,019	EBIT	0	0
TEV (in \$M):	3,718	TEV/EBIT	0	0

Description

Diversified Gas & Oil Corporation — Senior Secured Notes

9¾% Senior Secured Notes due 2029

Recommendation: Buy **Instrument:** DIGAOI 9.75% Senior Secured Notes due 04/09/2029 (ISIN NO0013513606; ~\$500mm outstanding; issued by Diversified Gas & Oil Corporation, guaranteed by Diversified Energy Company PLC) **Reference price:** ~101.375 / 102.375 (~9.357% / 8.921% YTM; ~9.1% at the mid)

Summary

Diversified Gas & Oil Corporation's 9¾% senior secured notes due 2029 offer investors a ~9% yield on one of the more defensively-constructed credits in US onshore E&P. The issuer is a financing subsidiary of public (\$1.0Bn market cap) Diversified Energy Company (DEC, LSE/NYSE), a consolidator of mature, low-decline, heavily hedged natural gas and oil wells rather than a shale-growth or exploration story.

Consolidated net leverage has moved from 2.70x to 2.45x over the past several reporting periods — ticking back up in the second quarter as the Camino close and a new organic drilling program layered on incremental debt, but still comfortably inside management's own 2.0–2.5x target and down from 2.70x a year earlier — even as DEC has closed both the Sheridan Production bolt-on (April 30, 2026) and the \$1.175bn Camino Natural Resources JV with Carlyle.

The company's entire strategy is engineered around predictability: 60–85% of near-term volumes are hedged at any given time, cash margins have held near 50% of revenue through a multi-year commodity cycle, and a large legacy debt stack sits in ring-fenced, non-recourse, self-amortizing ABS structures rather than at the level where this bond sits. A third-party structural analysis performed at original issuance calculated that residual bondholder-level asset coverage — the PV-10 value left over after fully covering all ABS and RBL secured claims — stood at roughly 7–8x the size of the bond, a cushion built up specifically because the bond's claim runs through a share pledge and parent guarantee rather than a direct lien on any one asset pool.

We recommend buying the notes at current levels.

Near-term catalysts: execution of the new Oklahoma drilling program, continued capex delivery within FY26 guidance, and ongoing ABS amortization all skew favorably.

Company Description

We are a consolidator of choice for established energy assets

Established scale across key operating areas through growth-by-acquisition strategy



35 acquisitions to date

Daily Production ~1.2 BCFed	Market Capitalization ~\$1.1 Billion
Year-End '25 Reserves ^a ~\$5.2 Billion	'25 Pro Forma Adj. EBITDA ^b ~\$1.2 Billion
Total Net Acreage ~9 Million	Annual Dividend ^c \$1.16 per share

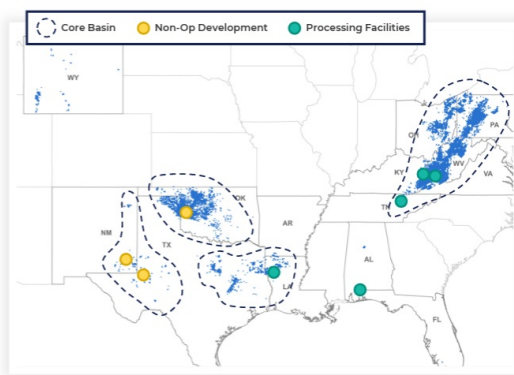
Production

BY REGION

61%	32%	7%
Central	Appalachia	Other

BY COMMODITY

72%	14%	14%
Gas	Oil	NGL



Diversified Energy Company (DEC) is a US onshore independent energy producer that focuses on acquiring, optimizing, and eventually retiring mature, low-decline natural gas, NGL, and oil wells, rather than exploring for or developing new production. Founded in 2001 by

CEO Rusty Hutson Jr., DEC has grown production roughly 30x since its 2017 London Stock Exchange IPO through more than 20 acquisitions, most recently the transformative ~\$1.275bn Maverick Natural Resources deal (closed 2025), which gave DEC its first Permian Basin exposure and diversified the portfolio from roughly 85/10/5 to roughly 73/14/13 across gas, NGLs, and oil.

The company operates across three regions. Appalachia (Marcellus, Utica, and conventional gas fields) contains more than 50,000 producing wells, making DEC the largest well operator in the basin, supported by an integrated midstream network of roughly 17,700 miles of gathering pipe. The Central/Midcontinent region (Arkoma, Anadarko, Cotton Valley, Haynesville, and East Texas) adds more than 20,000 wells, most acquired from ConocoPhillips and Tapstone Energy since 2021. The newest region, the Permian Basin, was added via the Maverick transaction and comprises roughly 8,000 wells split about 45% gas and 55% liquids, introducing a higher-margin component to the portfolio.

DEC's model is built around predictability rather than growth. The company hedges 60-85% of near-term production for four to eight years depending on the financing facility, uses in-house midstream, marketing (a top-25 US natural gas marketer), and well-retirement subsidiaries to control costs below industry norms (plugging wells at roughly \$25,000-35,000 each), and funds the bulk of its legacy debt through asset-backed securities collateralized directly against specific producing-asset pools, with amortization schedules designed to track reserve decline.

Capital Structure and Collateral Package

Diversified Energy Co

Capital structure overview

DEC

SOFR																					
3.616%																					
		Face Value						Market Value													
Summary capitalization	Committed	Maturity	Drawn	Refi	Drawn	Market Price	Market Value	2025 EBITDA	2026 EBITDA	2027 EBITDA	2025 EBITDA	2026 EBITDA	2027 EBITDA	SOFR margin	Fixed Coupon	Current Rate	Interest	Current Yield	7/25/2026 YTM		
								626.2	972.7	913.2	626.2	972.7	913.2								
ABS IV, ABS VI, ABS IX	0		340		340	100%	340														
ABS VIII			557		557	100%	557														
ABS X			504		504	100%	504														
ABS Maverick			441		441	100%	441														
Total ABS Debt			1,842		1,842		1,842														
DP RBL Co revolving facility			499	-100	399	100%	399														
Asset-specific loans			25		25	100%	25														
Total Asset Level Debt			2,336		2,236		2,236														
Senior Secured Bonds	4/9/2029	300	100	7	400	100.00%	404								0	9.750%	9.75%	29.3	7.2%	9.43%	
Other Debt			-		7	100%	7														
Total Debt			2,643		2,643		2,647														
Cash on BS			24		24		24														
Cash from options			-		-		-														
Total Cash			24		24		24														
Net Debt			2,619		2,619		2,623	3.17x	2.69x	2.87x	3.18x	2.70x	2.87x								
Price			14		14																
Shares			80		80																
Equity			1,098		1,098		1,098														
Total capitalization			3,718		3,718		3,722	4.50x	3.82x	4.07x											
LTV			70.5%		70.5%		70.5%														

Date		Price
04/09/2027		104.875
10/09/2027		103.656
04/09/2028		102.437
10/09/2028		100.500
04/09/2029		100.500

Aeq 2021		2022	2023	2024	Aeq 2025	2026	2027	2028	2029	2030
Cash Sales	41	112	124	109	826	652	607	569	546	548
Natural Gas Sales	55.5	768	734	629	632	911	870	828	832	762
NGL Sales	57	97	152	145	208	249	198	159	150	149
Midstream Sales	32	33	31	33	42	39	36	34	33	32
PSA	-	-	28	16	9	5	5	4	4	4
Other Revenue	2	6	(2)	26	15	-	-	-	-	-
Total Revenue	687	1,016	1,038	958	1,641	1,886	1,714	1,593	1,565	1,455
y/y growth		48.0%	2.1%	-7.7%	71.3%	14.9%	-9.1%	-7.1%	-1.8%	-4.4%
EBITDAX	343.1	503.3	534.1	457.2	836.2	972.7	913.2	851.0	863.9	784.8
EBITDAX/Margin	50.0%	49.5%	51.5%	47.7%	50.4%	51.8%	53.3%	53.4%	55.2%	52.5%

1H21	2H21	1H22	2H22	1H23	2H23	1H24	2H24	1H25	2H25	1H26	2H26	1H27	2H27
14	27	60	52	51	44	51	59	206	320	349	334	307	300
255	300	342	426	381	353	295	334	404	438	458	453	456	414
16	41	43	54	79	73	67	78	90	117	127	122	100	96
15	17	17	16	17	14	17	15	22	19	20	19	18	18
-	-	-	-	12	17	8	9	6	2	3	3	2	2
-	1	3	3	(4)	2	0	26	12	3	-	-	-	-
301	386	465	552	535	503	439	519	740	900	956	930	884	830
		54.2%	43.1%	15.1%	-6.9%	-17.9%	3.2%	68.6%	73.5%	29.1%	3.3%	-7.5%	-10.8%
151.3	191.8	223.8	279.5	274.8	259.2	210.0	247.1	348.7	477.5	490.7	482.0	477.4	435.8
50.2%	49.8%	48.1%	50.7%	51.4%	51.6%	47.8%	47.6%	47.1%	53.0%	51.3%	51.8%	54.0%	52.5%

Cash Flow Information	Aeq 2021	2022	2023	2024	Aeq 2025	2026	2027	2028	2029	2030
Capex upstream	(50)	(96)	(74)	(52)	(253)	(209)	(209)	(209)	(209)	(209)
Capex - ABO	0	0	0	(8)	(13)	(17)	(20)	(30)	(30)	(30)
FCF (Pre Dividends)	256	283	220	190	352	482	491	375	406	349
Dividends paid	(130)	(130)	(172)	(186)	(262)	(186)	(181)	(243)	(262)	(269)
FCF (Post Dividends)	126	153	42	104	95	296	290	290	290	290
Total / FCF (Post Dividends)	20.80x	19.72x	54.17x	25.20x	9.81x	6.64x	7.71x	8.70x	7.73x	9.08x

Date	Price
04/09/2027	104.875
10/09/2027	103.656
04/09/2028	102.437
10/09/2028	100.500
04/09/2029	100.500

The 9¾% notes due April 2029 were originally issued in April 2025 at \$300mm and have since grown to roughly \$500mm through a minimum \$100mm tap in January 2026 (priced at 96.5-97% of par, an approximately 10.6-11.0% yield context at the time) and subsequent taps toward the program's \$500mm cap. The notes are senior secured, carrying a first-priority pledge over all shares in the issuer (Diversified Gas & Oil Corporation), a first-priority floating charge over the parent guarantor's bank accounts and receivables, share charges over Diversified Midstream LLC and Diversified Production LLC, and a guarantee from the parent, Diversified Energy Company PLC. The bonds are non-call through April 2027 (make-whole), then step down from 104.875 to par over the following 18 months, and carry a 101% change-of-control put.

Importantly, this security package sits structurally behind the bulk of DEC's legacy financing, which is organized as follows:

- Asset-backed securities (ABS IV, VI, VIII, IX, X, and the Maverick ABS tranches)** — the largest component of DEC's debt stack, issued out of newly formed, ring-fenced special-purpose vehicles collateralized directly against specific PDP well packages, each subject to its own minimum hedge requirements (up to 85% of production hedged for as long as 7.5 years) and fixed, self-amortizing repayment schedules with additional excess-cash-sweep triggers tied to debt service coverage and loan-to-value tests. This debt is non-recourse to the restricted group and to each other, meaning a default in one ABS silo does not cross-default the others or this bond.
- Reserve-based lending facility (RBL)** — a \$900mm borrowing-base revolver secured by a first-priority lien on working interests representing at least 85% of the PV-10 of proved reserves, subject to its own minimum and maximum hedging requirements and a 3.25x net-debt/EBITDAX covenant. The RBL has funded recent bolt-on acquisitions, including Sheridan and the net cash portion of the Camino JV.

- **Free Cash Flow** – Free cash flow has tracked, and at points outpaced, the EBITDA beats through 2026: adjusted FCF of \$160mm in Q1 came in well above the \$129mm estimate, and even as Q2's \$115mm reflected the step-up in development capex tied to the new Oklahoma program, DEC still retired \$233mm of ABS principal in the first half and funded roughly \$93mm of buybacks (~9% of shares outstanding) year-to-date without touching the bond market. Full-year adjusted FCF guidance of ~\$440mm was left essentially unchanged even as EBITDA guidance was raised to \$960–1,010mm, because the incremental EBITDA is being reinvested into the larger capex budget (\$225–255mm, up from \$205–235mm) rather than flowing through to free cash flow — a deliberate trade of near-term FCF for the new organic drilling lever, not a sign of deteriorating cash conversion. For bondholders, the more relevant point is scale: this level of FCF dwarfs the roughly \$49mm of annual cash interest on the notes (9.75% on \$500mm of principal), and it is large enough to fund shareholder distributions and mandatory ABS amortization at the same time, even before the RBL is considered — evidence that DEC's underlying cash generation covers debt service across the capital structure with room to spare.
- **This bond** — sits at the Diversified Gas & Oil Corporation level via a share pledge rather than a direct asset lien, and benefits from cash-flow upstreaming from both the ABS structures and the RBL asset base, but does not receive a first-priority claim on any specific producing-asset pool.

Because of this structure, a third-party pre-issue analysis calculated that residual bondholder coverage — the value left in each production silo's PV-10 after covering all ABS and RBL claims dollar for dollar — stood at roughly 13% loan-to-value at original issuance, translating into an estimated \$2.4bn of residual asset value standing behind an initial \$300mm bond, or roughly 7–8x coverage. The bond has since been tapped to \$500mm and total debt has grown alongside Maverick, Sheridan, and now the closed Camino JV (itself funded through a new, separate ABS), so that ratio has almost certainly widened — but even a meaningful multiple of widening would still leave substantial coverage given the scale of the cushion identified at issuance, and each new ABS facility continues to be sized conservatively against audited, reserve-report-based PV-10.

The bond's covenant package is conservative relative to where DEC actually operates: a 3.5x leverage covenant against consolidated leverage that has run 2.2–2.7x over the past two years; a 1.2x minimum asset-coverage ratio (PV-10 net of hedge mark-to-market divided by net debt) against a modeled 1.9–2.2x at issuance; a \$500mm minimum book equity covenant against a modeled figure north of \$861mm even in the first forecast year; and a minimum liquidity covenant of 25% of bonds outstanding, rising to a 40% liquidity threshold before the company can make shareholder distributions. Tap issuance is separately capped at a 3.0x incurrence-test leverage ratio, tighter than the maintenance covenant.

Investment Thesis

1. You are lending against a large, granular pool of long-lived, hedged, cash-generative PDP reserves, not a single well or a speculative growth story. DEC's entire strategy is engineered to produce boring, predictable cash flow — the opposite of typical high-yield E&P risk. There is no exploration capex and no reserve-replacement urgency comparable to a shale-growth operator; the core legacy portfolio carries an estimated remaining well life of roughly 50 years.

2. Structural subordination is real, but the numbers suggest it is well compensated. The bond ranks behind ABS/RBL debt on a claims basis — newly acquired producing assets financed via new ABS structures do not flow full collateral benefit to bondholders. That said, ABS debt amortizes and is sized against audited PV-10 with conservative advance rates (roughly 55–60% of PV-10), and the residual equity value pledged to bondholders was calculated at approximately 7–8x the bond size at issuance. Even significant further leverage growth across Maverick, Sheridan, and Camino is unlikely to fully erode that cushion given DEC's demonstrated discipline in keeping consolidated leverage inside — even after ticking up to 2.45x with the Camino close in the second quarter — its stated 2.0–2.5x target.

3. The current yield is attractive carry for the risk. A roughly 9.1% mid yield-to-maturity on an unrated, senior secured, approximately three-year duration-to-first-call bond comes from an issuer that has now printed three consecutive, large sell-side earnings beats (4Q25, Q1 2026, and Q2 2026), guided to raised 2026 production and EBITDA, and is now buying back roughly 9% of its own equity year-to-date (~\$93mm). Even the more cautious sell-side equity views (Truist and Citi, both in the \$16–17 range) imply no balance-sheet distress; the more constructive view (Mizuho, Outperform, \$32 price target) implies more than 2x upside in the common stock from current levels — while not the bond's business, the Street's broader ten-analyst Strong Buy consensus (average target near \$21) is a further signal that no house sees credit risk in the current structure.

4. Continued M&A optionality is credit-neutral to positive if discipline holds. Management has cited roughly \$16bn of near-term actionable deal flow across the Bakken, Rockies, and Eagle Ford, on top of the recently closed Camino JV, and has a demonstrated pattern of funding growth through a mix of RBL draws, new ABS issuance, consideration shares (as in Maverick), and JV equity partners (Carlyle, on Camino) rather than exclusively bond-market debt. The bond's own incurrence tests — a 3.0x leverage ceiling for tap issuance and a 40% liquidity threshold for distributions — provide a governor on how aggressively the company can lever up while these notes are outstanding.

5. Near-term catalysts are already playing out favorably. Sheridan closed on schedule on April 30, 2026, and Camino followed by the second quarter; EBITDA has delivered at or meaningfully above guidance in three consecutive quarters (4Q25, Q1 2026, and Q2 2026); net leverage ticked up to 2.45x post-Camino but remains inside target; and the new one-rig Oklahoma drilling program, funded from within the existing capital budget, gives management a lower-risk organic growth lever alongside continued ABS amortization.

Recent Financial Performance

- **4Q25 / FY25 (reported February 27, 2026):** Adjusted EBITDA of \$254mm (DNB Carnegie) / \$238mm ex-land-sale (Jefferies) against a consensus of roughly \$233mm, driven by higher realized pricing and stronger leasehold sales than expected. Pro forma (Canvas-adjusted) EBITDA reached \$282mm, for LTM pro forma EBITDA of \$1.21bn and net leverage of 2.3x, inside the 2.0–2.5x target. Natural gas production of 885.5 mmcfpd beat consensus and JEF estimates, with oil and NGL roughly in line. Q4 shareholder returns totaled approximately \$38mm, including \$16mm of buybacks.
- **Sheridan Production acquisition (announced concurrently, February 27, 2026):** A \$245mm all-cash purchase of East Texas natural gas assets, funded via the RBL and originally expected to close in Q2 2026 — subsequently confirmed closed on April 30, 2026. The package adds roughly 62 MMcfpd (about 10 Mboepd) of 2026 net production, 72% gas-weighted, with a low annual decline of approximately 6% and about 397 Bcfe of PDP reserves (PV-10 of roughly \$310mm). At approximately \$52mm of NTM EBITDA, the implied 4.7x multiple is modestly rich versus DEC's historical bolt-on discipline (Maverick at 3.25x, Summit at 3.5x, Oaktree at 3.0x, Crescent Pass at 3.8x), which management and sell-side analysts attribute to the deal's smaller size and better synergy visibility, along with a generally higher going rate for gas-weighted assets. Shares rose 4% on the announcement.
- **FY26 initial guidance (given with 4Q25 results, excludes Sheridan):** Production of 1,170–1,210 MMcfed; adjusted EBITDA of \$925–975mm (DNB Carnegie modeled roughly \$964mm post-hedge, broadly in line); capex of \$205–235mm, somewhat above prior estimates on higher maintenance spending; and adjusted free cash flow of approximately \$430mm. Jefferies' independent, more conservative pre-Sheridan estimates were \$825–875mm of EBITDA. Management also disclosed a new non-operated joint venture in the Northwest Shelf Permian, expected to add roughly 6 mboepd in 2025 and roughly 10.8 mboepd in 2026 through an upfront drilling carry structure DEC values at \$640mm of PV-10 — a lower-execution-risk growth lever that Jefferies flags as a differentiated upside catalyst relative to outright acquisitions.
- **Q1 2026 results and the Camino Natural Resources acquisition (reported May 7, 2026):** Another sizable beat — adjusted EBITDA of \$287mm against consensus \$257mm estimate, again driven primarily by stronger-than-expected leasehold sales, with adjusted free cash flow of \$160mm against a \$129mm estimate. Pro forma LTM EBITDA reached \$1.23bn, for net leverage of 2.2x, improving quarter over quarter from 2.3x at year-end 2025. Alongside earnings, DEC announced a \$1.175bn structured joint venture with Carlyle to acquire Oklahoma assets from Camino Natural Resources (Carlyle 60%, DEC 40%, with DEC as operator), funded through a new ABS and requiring only about \$210mm of net cash from DEC, drawn under the RBL. The acquired assets add roughly 300 MMcfpd (about 50k boepd) of production and approximately 1.5 Tcfe of proved reserves, with DEC's parent retaining 100% of the associated undeveloped acreage outside the ABS structure; the purchase multiple of approximately 3.0x NTM EBITDA (roughly \$400mm) is well inside the richer multiple paid for Sheridan. 2026 guidance was reiterated, though it already embeds \$100mm of assumed leasehold-sale proceeds achieved in full during Q1, meaning further sales through the year are incremental upside; Camino itself is not yet reflected in guidance.
- **Q2 2026 results (reported August 5, 2026):** Adjusted EBITDA of \$240mm and adjusted free cash flow of \$115mm on average production of 1,253 MMcf/d (209 Mboepd) and an exit rate of 1,275 MMcf/d. Net leverage rose to 2.45x from 2.2x at Q1, driven by the Camino close and stepped-up development capex, but remained inside the 2.0–2.5x target and down from 2.66x a year earlier. The company retired \$233mm of ABS principal in the first half, ended the quarter with \$678mm of liquidity, and raised full-year guidance to \$960–1,010mm of adjusted EBITDA (from \$925–975mm) and \$225–255mm of capex (from \$205–235mm), with adjusted free cash flow guidance essentially unchanged at ~\$440mm. Shares rose more than 9% on the print.
- **Strategic shift — organic drilling and portfolio pruning:** Alongside earnings, management confirmed the Camino close, disclosed the sale of non-core Barnett Shale and Arkansas assets for a combined \$147mm (bringing YTD acreage and asset sale proceeds to \$126mm and cumulative divestiture proceeds since 2023 to more than \$500mm), and announced its first operated drilling program in roughly 25 years — a one-rig effort targeting 17 net Oklahoma wells between September 2026 and September 2027 at an estimated \$145mm of annualized net capital, out of a \$250–300mm total capital budget. Management characterizes the program as an extension of the existing model rather than a pivot, and it is funded within the raised FY26 capex guidance rather than through incremental bond-market debt, but it does introduce a modest amount of drilling execution risk that was not part of the original underwriting case for this bond.

Valuation

At current levels of 101.375/102.375, the notes yield roughly 9.357%/8.921% on a bid/ask basis, or approximately 9.1% at the mid — a spread we estimate at roughly 400–450 basis points over the comparable UST at this ~3-year duration point. Current pricing sits below the 104.875 hard-call price that first applies after the make-whole window closes in April 2027.

Against DEC's own equity, the bond's approximately 9.1% yield compares to an approximately 8.1% common dividend yield, but sits ahead of the common in the capital structure with hard security and a real covenant package — an attractive risk-adjusted swap for anyone constructive on the credit but agnostic on, or skeptical of, an equity re-rating. Against the bond's own trading history, the January 2026 tap priced at 96.5–97% of par, an approximately 10.6–11.0% yield context at the time; the subsequent rally to current levels has tracked the intervening earnings beats and the Sheridan and Camino closings, but the notes still offer a coupon-plus-carry profile well above the broad high-yield E&P index for a credit with this level of asset coverage and hedge protection.

Equity peers. Against its closest natural gas E&P peers, Comstock Resources (CRK) trades at 6.99x this-year EV/EBITDA — the top of the four-name range (3.53x–6.99x, average 5.03x) — compressing to 5.36x on next-year estimates, which is also the high end of that forward range (4.13x–5.36x, average 4.60x). CRK is paying up for growth: consensus has EBITDA rising from \$1,096mm to \$1,429mm (+30%) and margin expanding from 58.9% to 66.3%, the strongest projected margin improvement in the group. That growth premium comes with meaningfully more leverage than peers, however — CRK's 2.90x net leverage is well above HighPeak's 1.78x and nearly 4x Expand Energy's 0.77x — and CRK is the only name in the set generating negative free cash flow this year (-\$183mm, a -5% FCF yield), versus modest but positive FCF at EXE (\$462mm, 2% yield) and TXO (\$10mm, 1% yield); HPK does not disclose a comparable FCF figure in the comp set. In short, the equity market is pricing CRK as the highest-torque, highest-leverage way to play the gas macro among these four, with the multiple only converging toward peer levels once the EBITDA ramp shows up in the numbers.

Bond peers. On the credit side, CRK's 6¾% notes (99.12, 7.1% YTM) price at the widest yield in the comp set, consistent with its B2/B ratings sitting below every other name shown except Vermilion (Ba3/B+, 6.6% YTM) — the next-closest comp both on rating and yield. Investment-grade and crossover names — Coterra (BBB+, 5.0%), National Fuel Gas (Baa3/BBB-, 5.1%), and the unrated-but-tight Civitas paper (NR/WD, 4.0%) — clear 200–310bp inside CRK, a range wide enough that the gap looks driven as much by each bond's own rating and duration profile as by a single uniform spread to Comstock.

Put together with the equity read, CRK looks like a name where both stock and bonds are being compensated for real leverage and near-term cash burn, with the payoff dependent on the EBITDA growth (and associated deleveraging) that's baked into next year's numbers actually showing up. By comparison, DEC's credit risk looks cheap.

Ticker	Name	Mkt Cap	EV	Net Lvg	This Year			EV/			FCF	FCF Yld	Next Year			EV/	
					Sales	EBITDA	EBITDAM	EBITDA	Net Lvg	Sales			EBITDA	EBITDAM	EBITDA		
CRK	COMSTOCK RESOURCES INC	3,952	7,662	3,184	1,862	1,096	58.9%	6.99x	2.90x	(183)	-5%		2,154	1,429	66.3%	5.36x	
EXE	EXPAND ENERGY CORP	21,731	24,753	4,523	13,037	5,896	45.2%	4.20x	0.77x	462	2%		12,459	5,814	46.7%	4.26x	
HPK	HIGHPEAK ENERGY INC	998	2,041	1,029	916	579	63.2%	3.53x	1.78x				767	495	64.5%	4.13x	
TXO	TXO PARTNERS LP	769	931	266	346	172	49.8%	5.42x	1.55x	10	1%		429	200	46.6%	4.66x	
								Avg	5.03x							Avg	4.60x
								Min	3.53x							Min	4.13x
								Max	6.99x							Max	5.36x
Ticker	Name	Moody's	S&P	Fitch	Cusip	Ticker	Price	YTM									
CTRA	COTERRA ENERGY INC	#N/A	N/A	BBB+	BBB+ *	ZN633226	CTRA 4 3/4	98.62	5.0%								
VET	VERMILION ENERGY INC	Ba3	B+	BB-	BV990629	VETCN 6 7	100.37	6.6%									
NFG	NATIONAL FUEL GAS CO	Baa3	BBB-	BBB	YR253741	NFG 5 1/2	101.21	5.1%									
CIVI	CIVITAS RESOURCES INC	#N/A	N/A	NR	WD	ZH414812	SM 8 5/8 1	105.18	4.0%								
CRK	COMSTOCK RESOURCES INC	B2	B	WD	BO159491	CRK 6 3/4	99.12	7.1%									

Catalysts

Deleveraging and M&A Execution

DEC's net leverage has trended down on a multi-year view, though it ticked back up in the second quarter: from 2.7x on a 2024 base case, to 2.3x at year-end 2025, to 2.2x at Q1 2026, to 2.45x at Q2 2026 as the Camino close and the new Oklahoma drilling program layered on incremental debt. That still leaves leverage comfortably inside the 2.0–2.5x target and down from 2.66x a year earlier, but it is the closest the ratio has run to the top of that range to date.

The question for bondholders to track into year-end is whether the ABS amortization and free cash flow generation that pulled leverage down in prior quarters do so again now that the growth capital budget is larger, and less M&A-dependent.

The Camino JV itself closed on the terms originally structured: DEC's net cash outlay was capped at roughly \$210mm (RBL-funded) against a \$1.175bn gross transaction, with Carlyle absorbing 60% of the equity and DEC retaining the undeveloped acreage outside the financing structure entirely.

Beyond the deal-specific catalysts, the underlying hedge book (60–85% of near-term volumes) continues to roll forward on a multi-year basis, and each new ABS facility (Camino's included) continues to amortize against declining, reserve-report-audited production — the structural mechanism that has historically kept bondholder coverage well ahead of headline consolidated leverage.

- **Camino integration**, now closed and adding ~300 MMcfpd of production and ~1.5 Tcfe of reserves; consolidated leverage moved up to 2.45x on the close but remained inside target, and how quickly it pulls back from here is worth tracking.
- **Continued FY26 EBITDA delivery** within (or above) the newly raised \$960–1,010mm guided range, following consecutive beats in 4Q25, Q1 2026, and Q2 2026.
- **Ongoing ABS amortization and deleveraging**, reinforcing bondholder coverage even as the consolidated balance sheet grows through M&A.
- **Broader M&A pipeline discipline** — roughly \$16bn of actionable opportunities across the Bakken, Rockies, and Eagle Ford, which management can access through non-bond-market financing (RBL, new ABS, JV equity, consideration shares) while incurrence covenants cap how aggressively any single tap issuance can add leverage.
- **Execution of the new Oklahoma drilling program** — a one-rig, 17-net-well campaign running September 2026 through September 2027 at roughly \$145mm of annualized net capital — gives management a lower-risk, self-funded organic growth lever to reduce reliance on further M&A, provided returns track the roughly \$65/Bbl oil and \$3.25/MMBtu gas price deck management underwrote it against.

Key Risks

- **Structural subordination to ABS/RBL secured debt.** The bond ranks behind a large stack of ring-fenced ABS and RBL claims, and DNB Carnegie has explicitly noted that new producing assets acquired via ABS-financed deals (Camino included) do not flow full collateral benefit to bondholders. Mitigating this, residual bondholder coverage was calculated at roughly 13% loan-to-value at issuance against a multi-billion-dollar equity cushion, and covenants (1.2x asset coverage, \$500mm book equity floor) provide an early-warning mechanism well before that cushion could be threatened.
- **Elevated and rising 2026 capex.** Capex guidance has moved from \$205–235mm at initial FY26 guidance to \$225–255mm as of the Q2 2026 print, reflecting the new operated drilling program layered on top of maintenance spending, and adjusted free cash flow guidance of ~\$440mm is essentially flat despite meaningfully higher EBITDA guidance. The increase is capital the company controls and can throttle back if commodity prices or early well results disappoint, but it does mark a shift toward a more capital-intensive model than the pure-acquisition, non-operated posture this bond was originally underwritten against.
- **Sheridan's acquisition multiple (4.7x) is rich versus DEC's recent bolt-ons (3.0–3.8x).** The deal's small absolute size (\$245mm) limits dollar risk, and management and DNB Carnegie both view the premium as justified by gas-asset scarcity value and better synergy visibility on a smaller transaction; it was also funded via the revolving RBL rather than incremental bond debt.

- **The Camino JV has now closed**, and its roughly \$210mm net RBL draw — together with the new drilling program's incremental capital needs — was a primary driver of net leverage moving from 2.2x to 2.45x in the second quarter. Offsetting this, the deal was struck at an attractive ~3.0x NTM EBITDA multiple, DEC retains 100% of the associated undeveloped acreage outside the ABS structure, Carlyle's 60% JV stake meaningfully reduced DEC's own capital commitment relative to an outright acquisition, and the company ended the quarter with \$678mm of liquidity.
- **Commodity price risk beyond the hedge horizon.** DEC hedges 60–85% of volumes one to five years out depending on the facility, and cash margins have held near 50% of revenue through a Henry Hub range of roughly \$2.10–6.60/MMBtu since 2018, but price risk beyond that horizon is real and unhedged.
- **Regulatory and ESG exposure** (methane rules, well-plugging obligations, ongoing West Virginia litigation) is real but appears manageable: a 2024 EPA methane rule was overturned by a February 2025 Senate vote, reducing near-term regulatory cost; DEC achieved zero excess emissions under the WEC program in 2024; and plugging costs of \$25,000–35,000 per well, handled in-house via Next LVL Energy, run below industry norms.
- **Bullet maturity and refinancing risk in 2029.** With roughly three years of remaining runway, DEC has demonstrated consistent capital-markets access across equity issuance, consideration shares, ABS issuance, and this bond's own tap history, and leverage — even after ticking up to 2.45x post-Camino — remains within its target range ahead of maturity in most scenarios.
- **Wide sell-side disagreement on DEC's equity** (Truist and Citi both in the \$16–17 range versus Mizuho's Outperform rating and \$32 price target) signals genuine uncertainty about the re-rating story, but is largely a debate about NAV-crediting methodology (70% versus 90–95% of PDP reserves) rather than about cash-flow adequacy, and neither view implies balance-sheet distress relevant to the bond. The Street's broader ten-analyst consensus is a Strong Buy with an average target near \$21, more than 45% above the current ~\$14.35 share price.

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I and/or others I advise hold a material investment in the issuer's securities.

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Messages

Subject	What do you think about the equity
Entry	08/18/2026 09:11 AM
Member	Sarelam34
I follow DEC and so was happy to see some ink spilled on the name. But I've been following the equity, so would love to hear any insights you gleaned on the equity from your bond research. You note that the stock's dividend yield is close to the bond's. I get it: one is a promise, the other has an indenture; but I was curious why not just own the equity given the capital return (dividend + buyback) and also you have a management team that owns a lot of stock and might be "working harder" for stockholders than lenders. Any thoughts on the stock would be appreciated and thanks for the thoughtful write-up.	
Subject	Structure
Entry	08/18/2026 11:06 AM
Member	mrbing

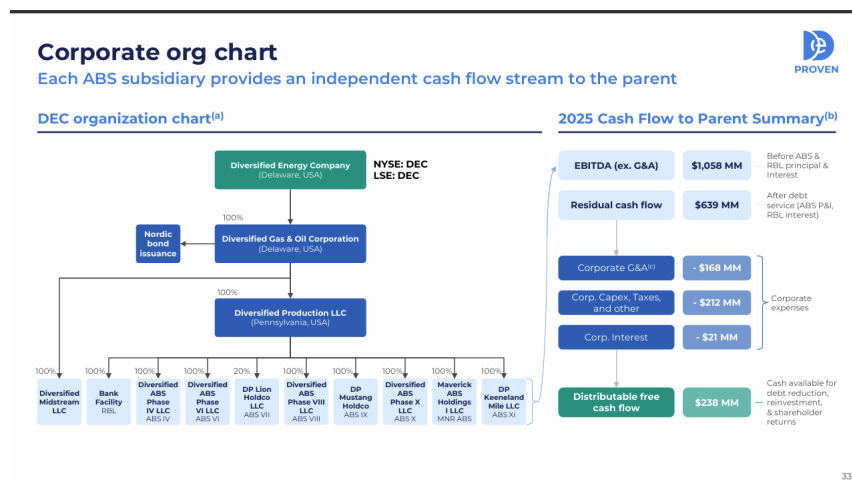
Thanks for the write up, and appreciate the thoughts on a pretty niche company. I think this bond is probably money good and should be fine, but I don't own it personally since I don't think the structure is quite as good as you claim.

DEC is essentially an oil & gas CLO. The ABS structure is low cost financing and source of leverage, and the corporate entity owns the residual equity. Low decline, hedged PDP assets (with minimal capex other than P&A, of which DEC does have a real amount) are a natural fit for the asset side of the equation. DEC isn't the only E&P to use this structure, but they are the largest and I believe only public company to do so. This results in a very equity friendly setup that generates good ROE.

However, if there is a "patsy" in this structure I would say it is the corporate bond.

I think a lot of it sounds good in name, but the structure of the bond never felt especially great to me. The bonds have a share pledge over Diversified Production LLC which is where ABS equity value rolls up to, but the bonds don't have a direct lien on the ABS equity which remain unencumbered and I think a problem because that is the vast majority of the Company's value. So you have a pledge of the equity of the subsidiary that the ABS equity rolls up to, but I don't think it would be particularly hard for the ABS equity to bypass Diversified Production LLC if they wanted it to. This is the same structure Jefferies sold the Saks second bonds on...they claimed they had a lien on the equity of the Saks Fifth Avenue flagship store, but what they really had was a share pledge over a subsidiary the equity rolled up to and sure enough that value was able to be moved away / primed. I don't think the midstream assets that are pledged are worth very much, but the parent guarantee is valuable.

DEC also reports EBITDA at asset level which isn't the same as what is available to the corporate entity (and bond). The ABS boxes are essentially cash traps and only upstream funds once a) principal and interest on the ABS is paid and b) the individual ABS box is compliant with its DSCR covenant. FWIW I think the bond will have an exceptionally hard time enforcing on these assets if it needed to. So a more appropriate calculation of corporate EBITDA is net of ABS / RBL P&I and corporate overhead. They give a good bridge to this in one of the presentations. On 6/30 LTM asset EBITDA of \$1.2 billion I think corporate EBITDA is closer to \$450 million net of ABS / RBL P&I and corporate overhead. To be clear, this is still ~1x leverage through the \$500 million bond so I am not suggesting they have a leverage problem, and relative to other E&P credits this is about in-line. Net of capex / taxes / P&A / bond interest I think there's a little less than \$200 million real FCF available to shareholders, just shy of a 20% yield on today's price which is a pretty good deal. You get an 8% dividend and the acquisitions accrue straight to the equity.



So, I don't know. It just feels like I'm better off owning the equity here and you don't really get paid much better with the bond. I'm not saying the bond is a bad idea, but if one has flexibility between debt / equity I'd probably just buy the stock. Full disclosure, I asked the company for a direct pledge on the ABS equity when they were marketing this bond initially and they told me to pound sand and so I am probably still salty about that.